LESSON PLAN · FINANCIAL LITERACY (GR 3–5) BEGINNER: MONEY SMART · LEVEL 1

Lesson 1: What Is Money?

Module 1 | 45 minutes | Money and change | Grades 3–6 · ages 8–11

Objective: Explain how people moved from swapping to coins, notes and digital money, count Indian rupees quickly and make correct change at a shop counter.

Success criteria

- I can explain why money is easier than barter.
- I can name Indian coins and notes and count them quickly.
- I can make change by counting up from the price.
- I can check my change before I leave a shop.

Key vocabulary

- **barter**: Swapping things directly, without money.
- **coin**: Metal money, like the ₹1, ₹2, ₹5, ₹10 and ₹20 coins.
- **note**: Paper money, like the ₹10, ₹50, ₹100 or ₹500 note.
- **change**: The money you get back when you pay more than the price.
- **UPI**: A way to send money from one bank account to another using a phone app.

You will need

- Projector or screen share with Kitabash (lesson video, activities)
- Devices: 1 per learner (laptop, tablet or phone); a microphone helps for speaking tasks
- Printed worksheet, paper and pencil
- Project files: l01_shop_counter_activity_sheet.md, l01_teacher_script.md

Timed lesson plan (45 min)

Time	Stage	What happens
5 min	**Warm-up game**	Barter market game (see Unplugged), then replay with play-money tokens. Ask: which was faster?
4 min	**Watch + thumbs poll**	Play the video. Thumbs poll: “Who has bought something at a kirana shop by themselves?” and “Who has seen someone pay by scanning a QR code?”
5 min	**Live demo**	Count from the biggest note, then the kirana counter: count up to make change. Class catches the planted ₹65 mistake.
7 min	**Build along (pairs)**	Cut out play money, count the cash box, make five price tags, and play shopkeeper in pairs (or with a grown-up at home).
7 min	**Counting games**	Count the money match, then “Shop counter: make the change” as a quick race: first three correct get a shopkeeper star.

6 min	**Budget sim**	Kirana run with ₹100. Pause and ask: who chose the toffee, who chose the biscuits, and why did nobody manage the chocolate?
4 min	**Team quiz**	Quick competition in two teams: “From swapping to scanning” order game, then teams explain one step each.
4 min	**Probe**	New situation: the wrong change (individual). Start the project: my shop counter game.
3 min	**Show-and-tell + exit**	Two pairs show one sale on camera. Exit ticket and homework.

Unplugged warm-up

Barter market game (5 min): give each child a picture card (rice, pot, goat, mangoes, cloth, shoes) and one secret card saying what they need. They must swap only directly, no money. After 3 minutes, ask who got what they needed and why it was hard. Then hand out ₹10 play-money tokens and replay for 1 minute: watch how much faster it goes.

Teaching the idea

Money is an idea everyone agrees on: a token that has value because we all accept it. Start with barter so children feel the problem (the potter who does not want rice), then show coins, notes and digital money as better and better solutions. Spend most of the class on hands: counting from the biggest note down and making change by counting up from the price, exactly like a kirana shopkeeper. Keep every amount small and real: ₹7 pencils, ₹25 biscuits, ₹40 bread.

Analogy: Money is like a “thank-you ticket” that everyone in the country agrees to accept, so you can swap it for anything instead of hunting for the one person who wants your rice.

Live demo: 1) Hold up (or show on screen) a ₹100 note, a ₹50 note, two ₹10s and a ₹5 coin, all play money. 2) Count wrongly first, starting with the coin, and get muddled; ask the class for a better way. 3) Recount from the biggest note: 100, 150, 160, 170, 175. 4) Set up a “kirana counter” on camera with a pencil box priced ₹35. A volunteer “pays” ₹50. 5) Count up out loud: “35… 5 makes 40… 10 makes 50. Change is ₹15.” 6) Do one more with a deliberate mistake (biscuits ₹25, give back ₹65) and let the class catch it.

Questions to ask

Ask	Listen for
Why was barter hard?	The other person might not want your thing, and it was hard to agree what things were worth.
Which note do you count first?	The biggest one, then smaller notes, then coins.
A ₹35 item, paid with ₹50. How do you find the change?	Count up from 35 to 50: ₹15.
Is money paid by UPI real money?	Yes. It moves from one bank account to another, so we spend it just as carefully.

What should you do before leaving the counter?	Count your change.

Differentiation

Support
Give learners who find subtraction hard only coins and notes of ₹1, ₹5 and ₹10 and prices under ₹20. Let them physically count up with the play coins instead of doing it in their heads.

Stretch
Make change with the fewest coins and notes possible (₹63 change from ₹100 for a ₹37 item = ₹50 + ₹10 + ₹2 + ₹1). Who can find a way with only four pieces?

Common misconceptions

Misconception	How to fix it
A bigger coin is always worth more than a note.	Value is written on it. A ₹10 note is worth more than a ₹5 coin, however big the coin looks.
Change means getting money for free.	Change is your own money coming back, because you paid more than the price.
UPI money is not real money.	It is real money in a bank account, just moved by phone.
You find change by guessing.	Count up from the price to the money paid, one step at a time.

Assessment

Use the Code Lab results (auto-checked), the quick checks and the Probe answers. Written answers arrive in your review queue.

Exit ticket
A toy costs ₹45. You pay with a ₹100 note. How much change should you get, and how did you work it out?

Homework
Play the shop counter game at home with a grown-up and record five sales in your counter log. Bring one tricky sale to share.

Answer key — Kitabash activities

1. Kirana run with ₹100 (perform · budget sim)

Must buy: 🍞 Bread, 🥛 Milk packet · **Keep at least** ₹10. Bread and milk cost ₹70, so ₹30 is left. Keeping ₹10 for Amma means your treat can cost at most ₹20: the toffee or the biscuits fit, but the juice box or the chocolate would not.

2. Count the money: match each handful to its total (perform · matching)

One ₹100 note and one ₹50 note → ₹150 · Two ₹20 notes and one ₹10 coin → ₹50 · One ₹500 note and two ₹100 notes → ₹700 · Three ₹5 coins and one ₹2 coin → ₹17 · One ₹200 note, one ₹50 note and one ₹20 note → ₹270

3. Shop counter: make the change (perform · fill blank)

Answers: 3 · 25 · 18 · 55

4. From swapping to scanning (perform · ordering)

Order: People swap things they have (barter) → People use metal coins → People use paper notes → People pay with bank cards → People pay by scanning a UPI QR code on a phone

5. New situation: the wrong change (probe · multiple choice)

Answer: Count up from ₹60 to ₹100, see she should get ₹40, and politely ask for ₹10 more

6. Project: my shop counter game (probe · project)

Answer key — worksheet

1. **Key words:** barter = Swapping things directly, without money. · coin = Metal money, like the ₹1, ₹2, ₹5, ₹10 and ₹20 coins. · note = Paper money, like the ₹10, ₹50, ₹100 or ₹500 note. · change = The money you get back when you pay more than the price.
2. **Kirana run with ₹100:** Must buy: 🍞 Bread, 🥛 Milk packet. Keep at least ₹10. Bread and milk cost ₹70, so ₹30 is left. Keeping ₹10 for Amma means your treat can cost at most ₹20: the toffee or the biscuits fit, but the juice box or the chocolate would not.
3. **Count the money: match each handful to its total:** One ₹100 note and one ₹50 note → ₹150 · Two ₹20 notes and one ₹10 coin → ₹50 · One ₹500 note and two ₹100 notes → ₹700 · Three ₹5 coins and one ₹2 coin → ₹17 · One ₹200 note, one ₹50 note and one ₹20 note → ₹270
4. **Shop counter: make the change:** 3 · 25 · 18 · 55
5. **From swapping to scanning:** 1 People swap things they have (barter) · 2 People use metal coins · 3 People use paper notes · 4 People pay with bank cards · 5 People pay by scanning a UPI QR

code on a phone

6. **Count my cash box:** With the full play money set: coins ₹220 + notes ₹3,000 = ₹3,220. Accept any correct count of the learner’s own set.

Kitabash original curriculum.